Customer Segmentation and Revenue Analysis

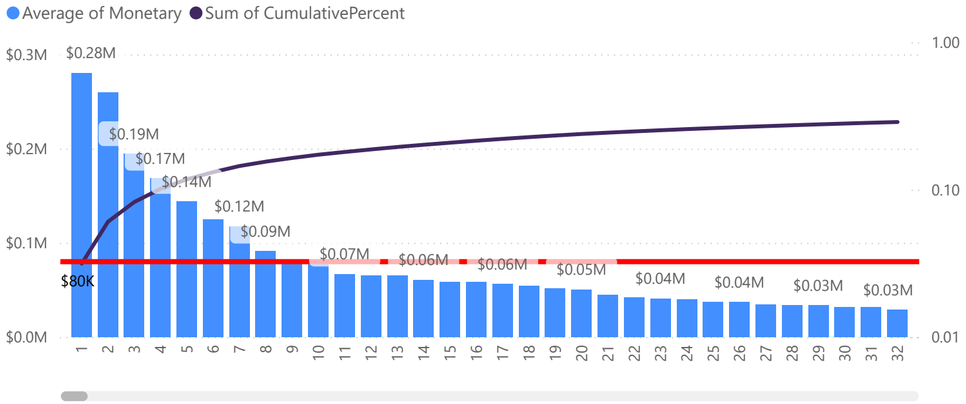
Recency Level	Frequency Level
☐ Very Old	☐ Rare
☐ Old	☐ Ocassional
☐ Recent	☐ Frequent
☐ Very Recent	☐ Very Frequent

4,339	$8.91M	$419.05	29.94%	10.46%
Total Customers	Total Revenue	Average Order Value	Champions %	At Risk %

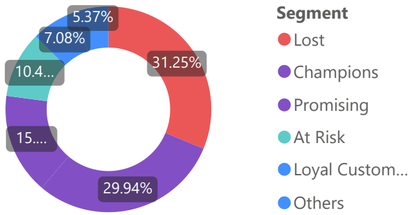
RFM Score Distribution

Recency / Frequency	Rare	Ocassional	Frequent	Very Frequent
Very Old	510	356	172	46
Old	292	322	295	157
Recent	173	244	320	326
Very Recent	110	163	297	556

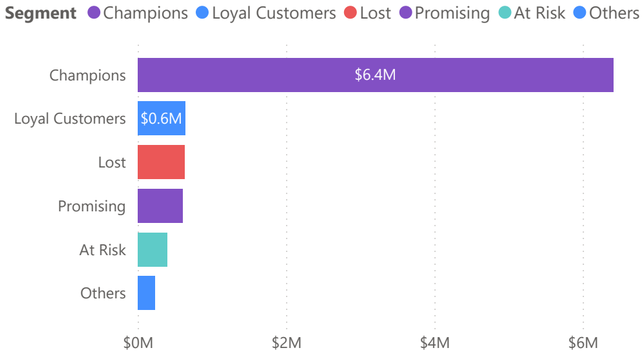
Revenue Concentration by Customer Rank (Pareto Analysis)



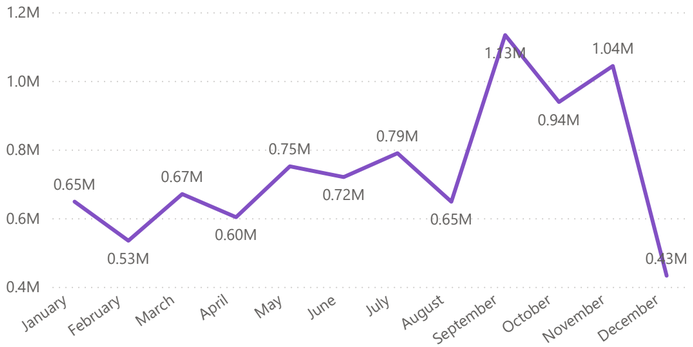
Customer Distribution by Segment



Revenue Contribution by Customer Segment



Monthly Revenue Trend



Key Insights

- Champions dominate revenue — 29.94% of customers are Champions, generating $6.4M of the $8.91M total revenue (72%). Despite being the largest segment by count, their average spend of $4,936 per customer is over 10× the Lost segment. Retention and reward programs should prioritize this group above all others.
- November is peak revenue month — Monthly revenue spikes to $1.13M in November, nearly double the annual monthly average of $0.68M. This signals strong seasonal demand, likely holiday-driven. Inventory, staffing, and marketing budgets should be weighted toward Q4.
- Lost and Hibernating customers represent a retention gap — A significant portion of customers have not purchased in over 90 days with low frequency and monetary scores. Before investing in re-engagement campaigns, cost-effectiveness should be evaluated — acquisition of new Promising customers may yield better ROI.
- Pareto rule holds — revenue is concentrated — A small minority of top-ranked customers drive the majority of revenue. Losing even a handful of Champions or Loyal Customers would have an outsized impact on total revenue.
- Promising segment is an untapped growth lever — 690 customers are Recent buyers (average 24 days) but low frequency. These are likely new customers who haven't been nurtured into repeat purchasing. A targeted onboarding or second-purchase incentive campaign here has high potential upside.
- RFM matrix insight — Very Recent + Very Frequent customers (556) form the largest high-value cell in the RFM Score Distribution, confirming that recency and frequency together are the strongest predictors of customer value in this dataset.

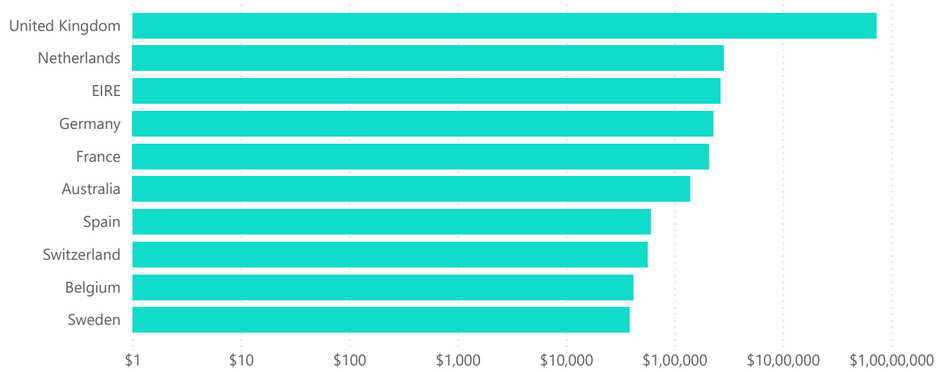
Customer Lifetime Value & Retention Analysis

Segment
- [ ] At Risk
- [ ] Champions
- [ ] Lost
- [ ] Loyal Customers
- [ ] Others
- [ ] Promising

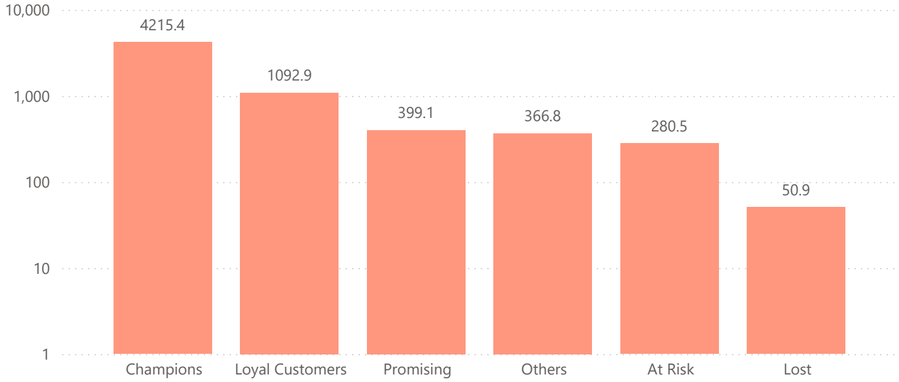
Country
- [ ] Australia
- [ ] Austria
- [ ] Bahrain
- [ ] Belgium
- [ ] Brazil
- [ ] Canada

1.47K	$280.21K	71.95%	697
Average Customer CLV	Top Customer Revenue	Champions Revenue Share	Average Customer Lifespan

Revenue Contribution by Country



Average Customer Lifetime Value by Segment



Key Insights

- Champions generate 83× the CLV of Lost customers ($4,215 vs $51 average). Prioritize retention of this segment above all acquisition spend.
- UK drives the vast majority of revenue — geographic concentration is a business risk. Explore growth levers in Netherlands and EIRE to diversify.
- Retention drops sharply after M+1 across all cohorts. The post-first-purchase window is the highest-leverage intervention point for lifecycle campaigns.
- Rank 4 customer (Promising, $84K AOV) is a misclassified whale — likely a B2B bulk buyer. Manual review and account-level nurturing recommended.
- Two distinct high-value profiles exist: high-frequency repeaters (rank 1, 2,080 orders) vs. rare bulk buyers (rank 4, 3 orders). Segmentation strategy should address both archetypes separately.

Cohort Retention Rate By Month

Month	M+1	M+2	M+3	M+4	M+5	M+6	M+7	M+8	M+9	M+10	M+11	M+12
Dec 2010	36.61%	32.32%	38.42%	36.27%	39.77%	36.27%	34.92%	35.37%	39.55%	37.40%	50.28%	26.55%
Jan 2011	22.06%	26.62%	23.02%	32.13%	28.78%	24.70%	24.22%	29.98%	32.61%	36.45%	11.75%	
Feb 2011	18.68%	18.68%	28.42%	27.11%	24.74%	25.26%	27.89%	24.74%	30.53%	6.84%		
Mar 2011	15.04%	25.22%	19.91%	22.35%	16.81%	26.77%	23.01%	27.88%	8.63%			
Apr 2011	21.33%	20.33%	21.00%	19.67%	22.67%	21.67%	26.00%	7.33%				
May 2011	19.01%	17.25%	17.25%	20.77%	23.24%	26.41%	9.51%					
Jun 2011	17.36%	15.70%	26.45%	23.14%	33.47%	9.50%						
Jul 2011	18.09%	20.74%	22.34%	27.13%	11.17%							
Aug 2011	20.71%	24.85%	24.26%	12.43%								
Sep 2011	23.41%	30.10%	11.37%									
Oct 2011	24.02%	11.45%										
Nov 2011	11.11%											

Top Customers by Revenue

Customer Rank	Customer ID	Monetary	Frequency	AOV	Segment
1	14646	$2,80,206.02	2080	$3,786.57	Champions
2	18102	$2,59,657.3	431	$4,327.62	Champions
3	17450	$1,94,550.79	337	$4,229.37	Champions
4	16446	$1,68,472.5	3	$84,236.25	Promising
5	14911	$1,43,825.06	5677	$715.55	Champions
6	12415	$1,24,914.53	716	$5,948.31	Champions
7	14156	$1,17,379.63	1400	$2,134.18	Champions
8	17511	$91,062.38	963	$2,937.50	Champions
9	16029	$81,024.84	242	$1,286.11	Champions
10	12346	$77,183.6	1	$77,183.60	Lost